

ExakTime Innovations, Inc (2023) 96 Cal.App.5th 908, 911, 920-921.) The court must explain the specific reasons for the across-the board percentage reduction. (*Id.* at 921.) However, “[a] trial court is not required to state each charge it finds reasonable or unreasonable. A reduced award might be fully justified by a general observation that an attorney over-litigated a case.” (*Id.* citing *Karton v. Ari Design & Construction, Inc.* (2021) 61 Cal.App.5th 734, 744.) Thus, “when a “voluminous fee application” is made ... the court may ... “make across-the-board percentage cuts either in the number of hours claimed or in the final lodestar figure.” (*Id.* citing *Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 40.) “But the court must clearly explain its reasons for choosing the *particular* negative multiplier that it chose; otherwise, the reviewing court is unable to determine that the court had valid, specific reasons for its across-the-board percentage reduction.” (*Id.* citing *Warren v. Kia Motors America, Inc.* (2018) 30 Cal.App.5th 24, 41.) The trial court is not required to issue a statement of decision with regard to a fee award, however. (*Id.* citing *Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1140.)

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CASE #	CASE NAME	HEARING NAME
CVRI2306850	BALDI vs BALDI BROS., INC.	MOTION TO FIX ATTORNEY'S FEES

Tentative Ruling: Defendants, Salvatore M. Baldi; Joseph D. Baldi; and Pasquale J. Baldi’s Motion to Fix Attorney’s Fees is granted the reasonable reduced amount of \$141,648.00 (after application of a 25% negative multiplier).

In general, California follows the “American Rule” regarding entitlement to attorney’s fees, whereby each party bears its own attorney’s fees unless such fees are expressly provided for by statute, or are included as part of the terms of a contract. (CCP §1021; *Reynolds Metal Co. vs. Alperson* (1979) 25 Cal. 3d 124, 127.) Attorney’s fees as an allowable cost item are governed by CCP §1033.5(a)(10) and (c)(5), and motions for such fees are governed by CRC 3.1702.

The court may properly award attorney’s fees when a contract provides for the allowance of attorney’s fees and suit is instituted to enforce the provisions of the contract: the trial court decides who is the prevailing party, and fixes attorney’s fees pursuant to Civil Code § 1717. Section 1717 applies to contract provisions for the recovery of attorney’s fees, whether such provisions are unilateral (that is, allowing only one party to recover), or reciprocal (such as one allowing recovery by a “prevailing party”). (*Santisas vs. Goodin* (1998) 17 Cal. 4th 599, 614).

Individual Defendants assert that Plaintiff brought this action to enforce the BSA; that the Court’s 5/15/26 order found they were the prevailing parties by entering judgment in their favor; and that Plaintiff concedes they are entitled to a portion of the costs claimed in their Memorandum of Costs (MOC). Based on these assertions, the Individual Defendants argue they are the prevailing parties entitled to all attorneys’ fees requested. Notably, the FAC does not contain a cause of action for breach of contract.

Nonetheless, the BSA provides:

If either Party files an action or brings any proceeding against the other *arising out of this Agreement*, the prevailing Party shall be entitled to recover

as an element of its costs of suit, and not as damages, reasonable attorney's fees. *The "prevailing party" shall be the Party who is entitled to recover its costs of suit, whether or not suit proceeds to final judgment.* A Party not entitled to recover its costs shall not recover attorney's fees. No sum for attorney's fees shall be counted in calculating the amount of a judgment for purposes of determining whether a Party is entitled to its costs or attorney's fees. (Dec.Keeney ¶ 5, Ex. "4", BSA § 7.2.) (emphasis added.)

Plaintiff disputes that Individual Defendants are the prevailing parties for purposes of an attorneys' fees award on the grounds that Civil Code § 1717 only allows attorneys' fees for the party who recovered a *greater relief* in the action on the contract. Plaintiff cites authority for the proposition that no party prevailed in the contract. It is accurate that the court may determine that neither party was the prevailing party where the result of the litigation is mixed. (Civil Code § 1717(b)(1); see also *Hsu v. Abbata*, (1995), 9 Cal.4th 863, 874-875.) In *Hsu*, the Court cited *Nasser v. Sup. Ct.* (1984) 156 Cal.App.3d 52, 57-60, where "a lessee brought a declaratory relief action against the lessor to validate an option to renew and establish the amount of rent due during the extension period." (*Id.* at 875.) "The trial court validated the option but fixed the rent at an amount substantially higher than the lessee had argued for. Given this mixed result, the Court of Appeal held that the trial court had acted properly in finding that there was no prevailing party under section 1717" (*Ibid.*) Plaintiff argues that the outcome of this action was a similar "mixed" result.

However, the plain language of the BSA provides otherwise. Individual Defendants are entitled to recover its costs of suit pursuant to its recently filed MOC (costs of suit.) Plaintiff challenged some but, not all of Individual Defendants' claimed costs in its motion to tax/strike costs.

Plaintiff argues that the only cause of action that supports a request for attorneys' fees is the 4th cause of action for declaratory relief. The Court's ruling on that claim was limited to a finding that the BSA was valid and controlling and expressly made no further finding. (5/26/26 Court Ruling.) Plaintiff relies on this to support his argument that attorneys' fees must be limited to the 4th cause of action because it is the only claim "on the contract", as required by Civil Code § 1717(b)(1). However, there is no dispute that the BSA is valid and controls including the attorneys' fees provision.

Plaintiff argues alternatively that the Court should substantially reduced the attorneys' fees because they are unreasonable, excessive, duplicative, and over litigated. The matter of reasonableness of a party's attorney fees is within the sound discretion of the trial court. (*Bruckman v. Parliament Escrow Co.* (1989) 190 Cal.App.3d 1051, 1062.) Fee motions should be based on detailed time records. (*Crespin v. Shewry* (2004) 125 Cal.App.4th 259, 271.) The records should detail crucial information such as the types of issues involved, services performed, numbers of hours, billing rates, etc. (*Martino v. Denevi* (1986) 182 Cal.App.3d 553, 559.) However, "[t]estimony of an attorney as to the number of hours worked on a particular case is sufficient evidence to support an award of attorney fees, even in the absence of detailed time records." (*Martino*, 182 Cal.App.3d 553, 559. See also *Raining Data Corp. v. Barrenechea* (2009) 175 Cal.App.4th 1363, 1375-1376.) The court is then entitled to make its own evaluation of the reasonable worth of the work done in light of the nature of the case and the credibility of counsel's

declaration, unsubstantiated by time records and billing statements. (See *Weber v. Langholz* (1995) 39 Cal.App.4th 1578, 1587; see also *Bernardi v. County of Monterey* (2008) 167 Cal.App.4th 1379, 1394.)

Lodestar

In determining the reasonable amount of attorney fees, the court first determines a lodestar figure (time reasonably spent by each biller multiplied by an hourly rate that is reasonable for each biller). (*Serrant v. Priest* (1977) 20 Cal.3d 25, 48.) In exercising its discretion, the Court may consider all of the facts and the entire procedural history of the case in setting the amount of a reasonable attorney fee award. (*Bernardi, supra*, 167 Cal.App.4th 1379, 1394; see also *PLCM Group, supra*, 22 Cal.4th at 1096 (factors considered in determining the reasonableness of a party's attorney fees include the nature of the litigation, its difficulty, the amount involved, the skill required in its handling, the skill employed, the attention given and the success or failure).) The court does not need expert testimony to determine the reasonable amount of a fee award. (*PLCM Group, supra*, 22 Cal.4th at 1095.)

A "reasonable" hourly rate is the prevailing rate charged by attorneys of similar skill and experience in the relevant community. (*PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095.) Notably, Plaintiff is not challenging the hourly rates of the attorneys or support staff who worked on the case. Thus, no reduction is warranted.

Plaintiff does, however, challenge specific entries in Individual Defendants' counsel's billing records as duplicative or excessive, as follows:

- 9/25/24 – 9/26/24 re draft the Answer: Two experienced attorneys billed 2.3 hours at \$575 per hour to prepare the Answer with one attorney billing more time to review that it took the other attorney to draft it. Allow Mr. Sikkema's time of 1.2 hours to draft and finalize the Answer. Court disallows Mr. Wulfson's 1.1 hours to review the Answer.
- 10/7/24 – 10/14/24 re prepare a CMC statements: Two experienced attorneys billed 1.7 hours at \$575 per hour; and one staff member billed .4 at \$250 per hour. Allow L. Proctor's .4 hour. Court disallows the remaining 1.7 hours.
- 7/12 – 7/14/25 re review the MSJ: Two attorneys billed 5.3 hours to review the MSJ. Allow 2.1 at \$435 per hour. Court disallows the remaining 3.2 hours.
- 10/1/25 re draft reply to MSJ: Two attorneys billed 8.6 to draft/review. Allow Mr. Keeney's 6.4 hours at \$435 per hour to draft. Court disallows Mr. Wulfson's 2.4 hours to review.
- 10/13/25 re prepare for the MSJ hearing: Two attorneys billed 5.6 hours for preparation. Allow Mr. Keeney's 3.2 hours at \$435 per hour. Court disallows Mr. Wulfson's 2.4 hours.
- 11/4/25 re jury instructions/verdict forms: Plaintiff asserts that two attorneys are billed for review but, there is only one entry. Court allows Mr. Keeney's 1.6 hours at \$435 per hour.
- 11/20/25 – 11/23/25 re drafting motion for nonsuit: Two attorneys spent 6.9 hours on one motion. Allow Mr. Keeney's 3.2 hours at \$435 and Mr. Wulfson's .6 to

outline the motion. Court disallows Mr. Keeney's 3.1 hours to prepare to draft the motion.

- *11/26/25 – 12/1/25 re drafting mediation brief:* Two attorneys spent 4.2 hours on the brief. Allow Mr. Keeney's 2.6 hours at \$435. Court disallows Mr. Wullfson's 1.6 hours.
- *2/2/26 re review oppo/draft reply re motion for nonsuit:* Two attorneys spent 2.9 hours. Allow Mr. Keeney's 1.8 hours at \$435 per hour. Court disallows Mr. Wullfson's 1.1 hours.
- *2/3/26 re draft reply re motion for nonsuit:* Mr. Keeney spent an additional 2.9 hours drafting the reply. Court allows Mr. Keeney 1.5 hours at \$435 per hour for additional work. Court disallows Mr. Keeney's 1.4 hours.
- Plaintiff also challenges nineteen entries claiming they are questionable and may be related to arbitration. However, only two entries indicate "arbitration", which entries are disallowed: 10/21/25 1.4 hours at \$575 re "disclosures in arbitration"; and 12/23/25 0.6 hours at \$575 re "outline issues needed for arbitration."

Plaintiff also challenges all entries (63.5 hours) for preparing the MSJ/MSA for a total of \$44,143. The total hours is excessive. However, Plaintiff has not challenged any specific entries other than those amounts disallowed above. As a result, the Court would have to guess which additional entries should be disallowed – a difficult, time-consuming, and ultimately inaccurate analysis.

Counsel for Individual Defendants does not provide sufficient detail regarding the tasks performed. In addition, Plaintiff's challenge only minimal amounts of the claimed attorneys' fees. (see *Oppo*, pp. 12:18-13:2.) Counsel for BBI does not provide sufficient detail regarding the tasks performed. This makes it extremely difficult for the court to calculate a final amount even if certain reductions to time for unreasonable billing entries could be determined. Given this difficulty and what appears to be an unreasonably inflated and seemingly arbitrary request for attorneys' fees, the Court applies a negative multiplier to the base lodestar request. (*Snoek v. ExakTime Innovations, Inc* (2023) 96 Cal.App.5th 908, 911, 920-921.) The court must explain the specific reasons for the across-the board percentage reduction. (*Id.* at 921.) However, "[a] trial court is not required to state each charge it finds reasonable or unreasonable. A reduced award might be fully justified by a general observation that an attorney over-litigated a case." (*Id.* citing *Karton v. Ari Design & Construction, Inc.* (2021) 61 Cal.App.5th 734, 744.) Thus, "when a 'voluminous fee application' is made ... the court may ... 'make across-the-board percentage cuts either in the number of hours claimed or in the final lodestar figure.'" (*Id.* citing *Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 40.) "But the court must clearly explain its reasons for choosing the *particular* negative multiplier that it chose; otherwise, the reviewing court is unable to determine that the court had valid, specific reasons for its across-the-board percentage reduction." (*Id.* citing *Warren v. Kia Motors America, Inc.* (2018) 30 Cal.App.5th 24, 41.) The trial court is not required to issue a statement of decision with regard to a fee award, however. (*Id.* citing *Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1140.)

Plaintiff seeks \$199,734.00, which is reduced to be total of \$188,864.00, less \$47,216.00 (applying a 25% negative multiplier.) \$141,648.00.